

STUDYHUB
CLASS 12 - MP BOARD
BUSINESS STUDIES — SET 1
English Medium | Set 1

Time: 3 Hours	Maximum Marks: 80
Medium: English	Set: 1

Note: This is an original StudyHub practice paper based on the MPBSE syllabus and examination pattern. It is not an official MPBSE paper.

GENERAL INSTRUCTIONS

1. All questions are compulsory.
2. Questions 1 to 5 are objective-type questions.
3. Questions 6 to 15 carry 2 marks each.
4. Questions 16 to 19 carry 3 marks each.
5. Questions 20 to 23 carry 4 marks each.
6. Internal choices are provided from Question 6 to Question 23.
7. Write answers in clear and precise language.
8. Draw suitable diagrams or flowcharts wherever required.

SECTION - A

OBJECTIVE TYPE QUESTIONS

Q.1 Choose the correct option. 1×6=6

(i) Which function of management involves determining what is to be done in advance?

- A. Organising
- B. Planning
- C. Staffing
- D. Controlling

(ii) The principle of management which states that an employee should receive orders from only one superior is:

- A. Unity of Direction
- B. Unity of Command
- C. Discipline
- D. Equity

(iii) Which of the following is an internal source of recruitment?

- A. Advertisement
- B. Employment Exchange
- C. Promotion
- D. Placement Agency

(iv) Which market deals in existing securities?

- A. Primary Market
- B. Secondary Market

C. Capital Market

D. Money Market

(v) Which element of the marketing mix deals with the amount charged from customers?

A. Product

B. Place

C. Promotion

D. Price

(vi) The right to seek redressal against unfair trade practices is a:

A. Consumer responsibility

B. Consumer right

C. Producer right

D. Seller responsibility

Q.2 Fill in the blanks. 1×6=6

(i) Management is considered both an art and a _____.

(ii) The process of assigning authority and responsibility is called _____.

(iii) Training is an important part of the _____ function of management.

(iv) The financial decision relating to the composition of debt and equity is called _____ decision.

(v) Advertising is a form of _____ communication.

(vi) The Consumer Protection Act provides protection to the interests of _____.

Q.3 Write True or False. 1×6=6

(i) Planning eliminates all risks completely.

(ii) Delegation helps in developing managerial talent.

(iii) Selection is a positive process.

(iv) Working capital decisions are concerned with short-term assets and liabilities.

(v) Personal selling involves direct communication with prospective buyers.

(vi) Consumers have no responsibility while purchasing goods.

Q.4 Match Column A with Column B. 1×7=7

Column A	Column B
(i) Planning	(a) Capital structure
(ii) Staffing	(b) Future course of action
(iii) Financial Management	(c) Recruitment and selection
(iv) Marketing	(d) Customer satisfaction
(v) Advertising	(e) Paid form of communication
(vi) Consumer Protection	(f) Protection of consumer interests
(vii) Controlling	(g) Comparison of actual performance with standards

Q.5 Answer in one word/one sentence. 1×7=7

(i) What is meant by coordination?

(ii) Name the principle which states that there should be one boss for one employee.

(iii) What is decentralisation?

(iv) What is meant by financial planning?

(v) What is branding?

(vi) What is a stock exchange?

(vii) Name the organisation responsible for protecting consumer interests under the Consumer Protection Act at the national level.

SECTION - B

SHORT ANSWER QUESTIONS

2 Marks Each

Q.6

Define management. State any one characteristic of management.

OR

State any two objectives of management.

Q.7

What is meant by scientific management? State one principle of scientific management.

OR

State any two techniques of scientific management.

Q.8

What is planning? State any one limitation of planning.

OR

State any two importance of planning.

Q.9

What is delegation? State any one advantage of delegation.

OR

Differentiate between delegation and decentralisation.

Q.10

What is recruitment? Mention any one internal source of recruitment.

OR

What is selection? State one difference between recruitment and selection.

Q.11

What is training? State any one benefit of training to employees.

OR

Distinguish between training and development.

Q.12

What is financial management? State any one objective of financial management.

OR

What is meant by capital structure?

Q.13

What is meant by financial market? Name its two major segments.

OR

Differentiate between primary market and secondary market.

Q.14

What is marketing? State any one function of marketing.

OR

What is meant by product mix?

Q.15

State any two rights of consumers.

OR

State any two responsibilities of consumers.

SECTION - C

SHORT ANSWER QUESTIONS

3 Marks Each

Q.16

Explain any three features of management.

OR

Explain any three functions of management.

Q.17

Explain any three steps involved in the planning process.

OR

Explain any three limitations of planning.

Q.18

Explain any three barriers to effective communication.

OR

Explain any three measures for improving communication effectiveness.

Q.19

Explain any three factors affecting the working capital requirement of a business.

OR

Explain any three factors affecting investment decisions.

SECTION - D

LONG ANSWER QUESTIONS

4 Marks Each

Q.20

Explain any four principles of management given by Henri Fayol.

OR

Explain any four techniques of scientific management given by F.W. Taylor.

Q.21

Explain the process of staffing under the following headings:

1. Estimating manpower requirements
2. Recruitment
3. Selection
4. Placement and orientation

OR

Explain any four sources of recruitment.

Q.22

Explain the following elements of the marketing mix:

1. Product
2. Price
3. Place
4. Promotion

OR

Explain any four functions of marketing.

Q.23

Explain any four rights of consumers under the Consumer Protection Act.

OR

Explain any four responsibilities of consumers.

MARKS VERIFICATION

Questions	Marks
Q.1	6
Q.2	6
Q.3	6
Q.4	7
Q.5	7
Q.6-Q.15	20
Q.16-Q.19	12
Q.20-Q.23	16
TOTAL	80

6 + 6 + 6 + 7 + 7 + 20 + 12 + 16 = 80 Marks

SHORT ANSWER KEY

Q.1: B, B, C, B, D, B

Q.2: Science; organising; staffing; financing; marketing; consumers

Q.3: False, True, False, True, True, False

Q.4: (i)–(b)

(ii)–(c)

(iii)–(a)

(iv)–(d)

(v)–(e)

(vi)–(f)

(vii)–(g)

Q.5: (i) Coordination

(ii) Unity of Command

(iii) Dispersal of decision-making authority to lower levels

(iv) Planning for financial requirements

(v) Giving a product a distinctive name/symbol/identity

(vi) Organised market for buying and selling securities

(vii) National Consumer Disputes Redressal Commission (NCDRC)

Note: For descriptive questions, equivalent correct answers should also receive marks.